2026 1H Logistics Market Review & 2H Outlook

July 2026

Logistics MI Group

SAMSUNG SDS

AGENDA

Ⅰ. Executive Summary

Executive Summary

Ocean

1H Trend

- (Demand) Resilient demand on front-loaded shipments, offsetting weaker Middle East volumes
- (Supply) Tight effective capacity despite supply growth, constrained by Hormuz disruption and Red Sea diversions
- (Rates) Freight rates surged on stronger front-loaded demand and supply disruptions

2H Outlook

- (Demand) Softer demand as front-loading fades and high interest rates weigh on consumption
- (Supply) Higher supply pressure on newbuilding deliveries and capacity recovery, with oversupply deepening from 2027
- (Rates) Firm through early 3Q, then weaker in 4Q on easing costs, capacity recovery, and softer demand

Air

1H Trend

- (Demand) 1H demand quickly recovered to pre-war levels, ahead of supply; Asia volume led the recovery
- (Supply) Modest YoY growth below demand, with gradual recovery on belly rebound and freighter additions
- (Rates) Rates hit a 3-year high on ME war supply impact and remain elevated, with gains widening on key lanes

2H Outlook

- (Demand) 2H demand growth to slow slightly YoY; high-value AI/chip cargo and key Asia-origin lanes to support demand
- (Supply) The widening order-delivery gap and record-high backlog are likely to constrain supply over the mid to long term
- (Rates) Q3 rates to soften on oil normalization and e-commerce slowdown; Q4 to rise on AI demand and year-end peak volume

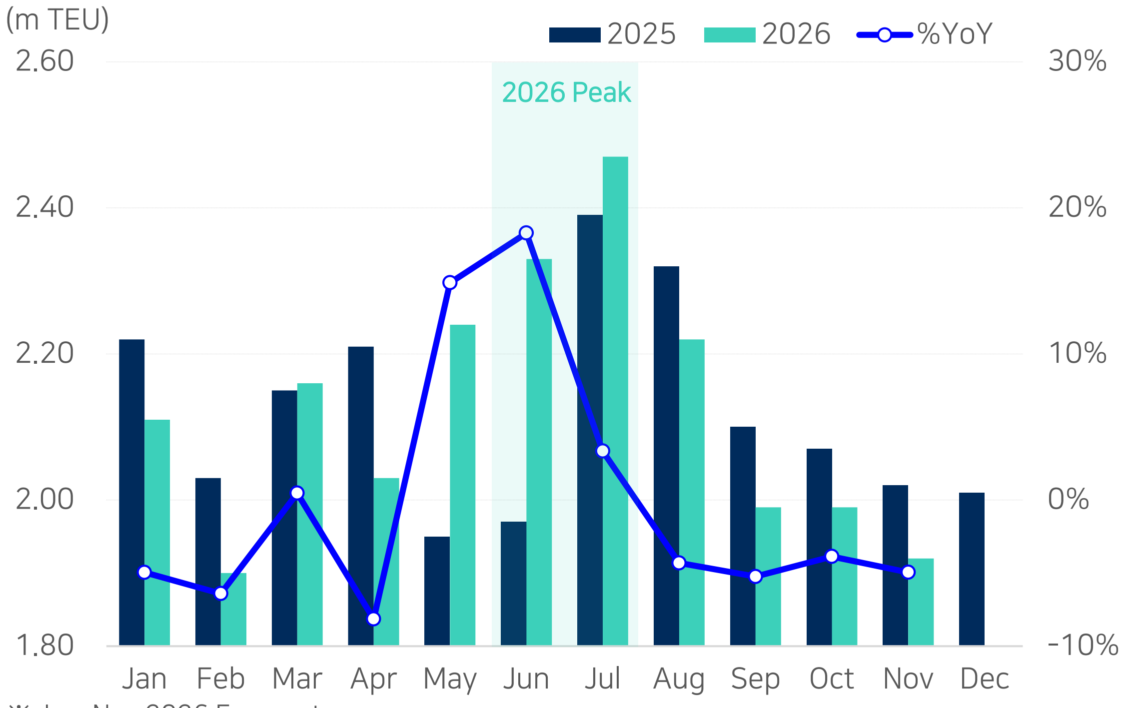
Ⅱ. 2026 1H Market Review

Ocean Demand Trend

Front-loading amid Middle East risks, higher fuel costs, and tariff uncertainty drove an early peak season
Stronger Asia-origin cargo offset weaker Middle East demand, widening regional demand divergence

Front-loading drove an early peak season

[Import Volumes at Major U.S. Container Ports]

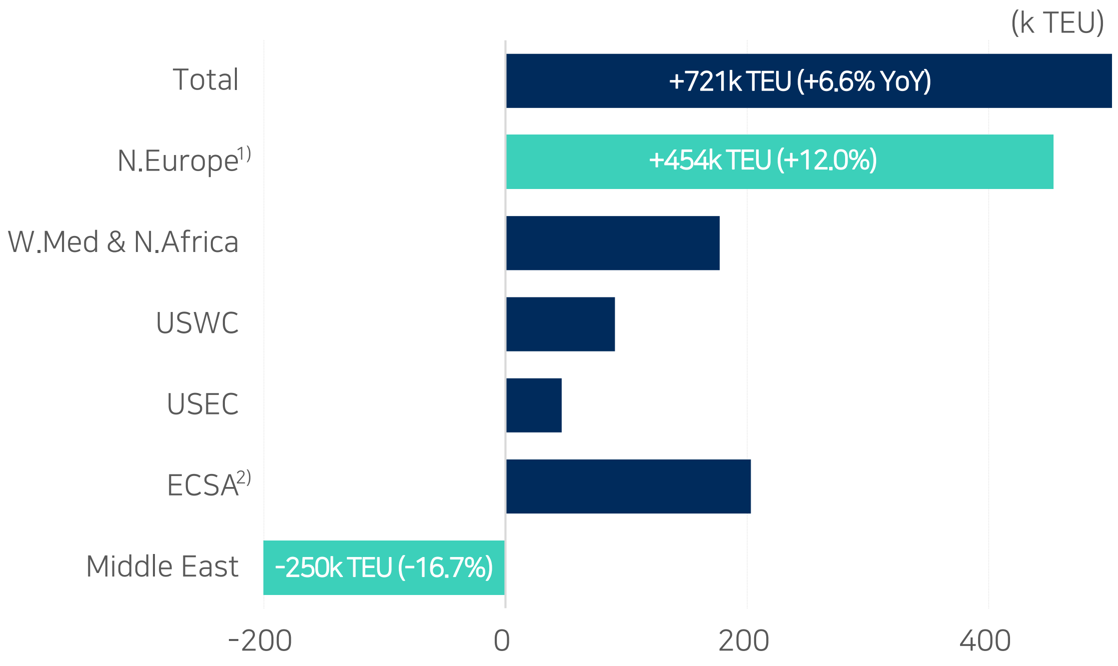


※ Jun–Nov 2026 Forecast

Source : NRF / CTS

Widening Regional Gap : Europe stronger, ME weaker

[China-Origin Container Volumes by Major Route (Jan–May 2026, YoY)]



1) Early shipments amid geopolitical uncertainty boosted Europe-bound volumes in 1H
2) Chinese vehicle exports and shipments ahead of Brazil's July EV tariff supported ECSA volumes in 1H

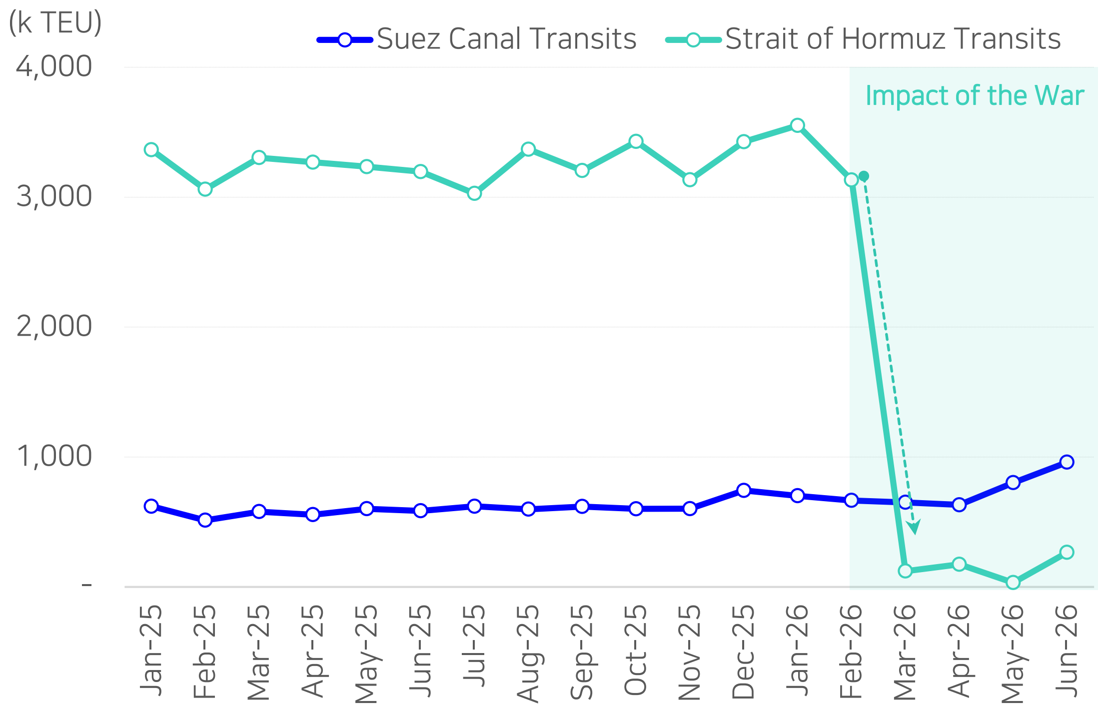
Ocean Supply Trend

Hormuz closure sharply reduced Middle East transits, while persistent Red Sea risks kept Suez transits subdued

Stronger Asia-origin cargo offset weaker Middle East demand, widening regional demand divergence

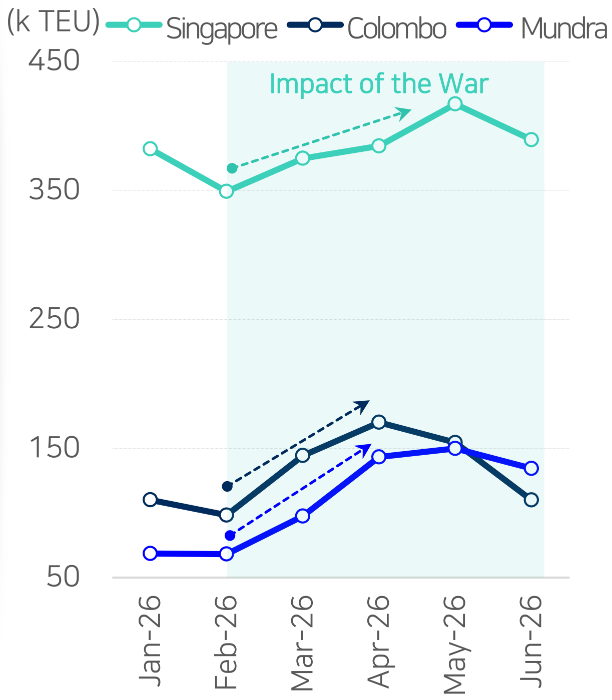
Sharp Drop in Hormuz & Red Sea Transits

[Container Ship Traffic in the Strait of Hormuz and the Red Sea]

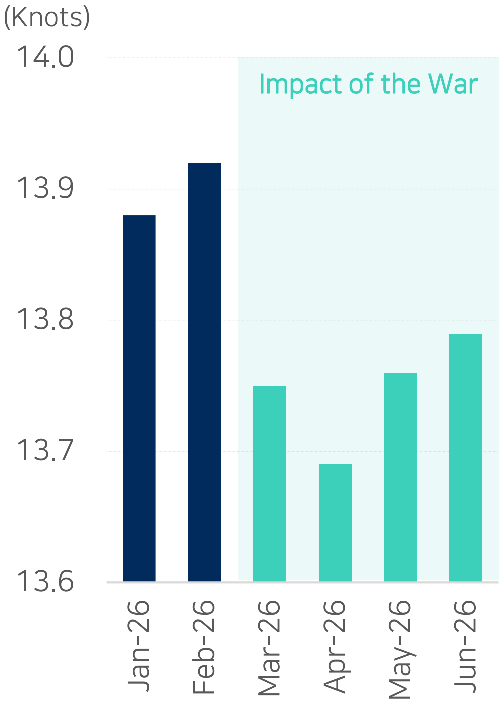


Slower Sailing, Congestion, and Schedule Delays

[Congestion at Major Transshipment Ports]



[Container Vessel Speed*]



* Slow steaming on higher oil prices

Source : Clarksons

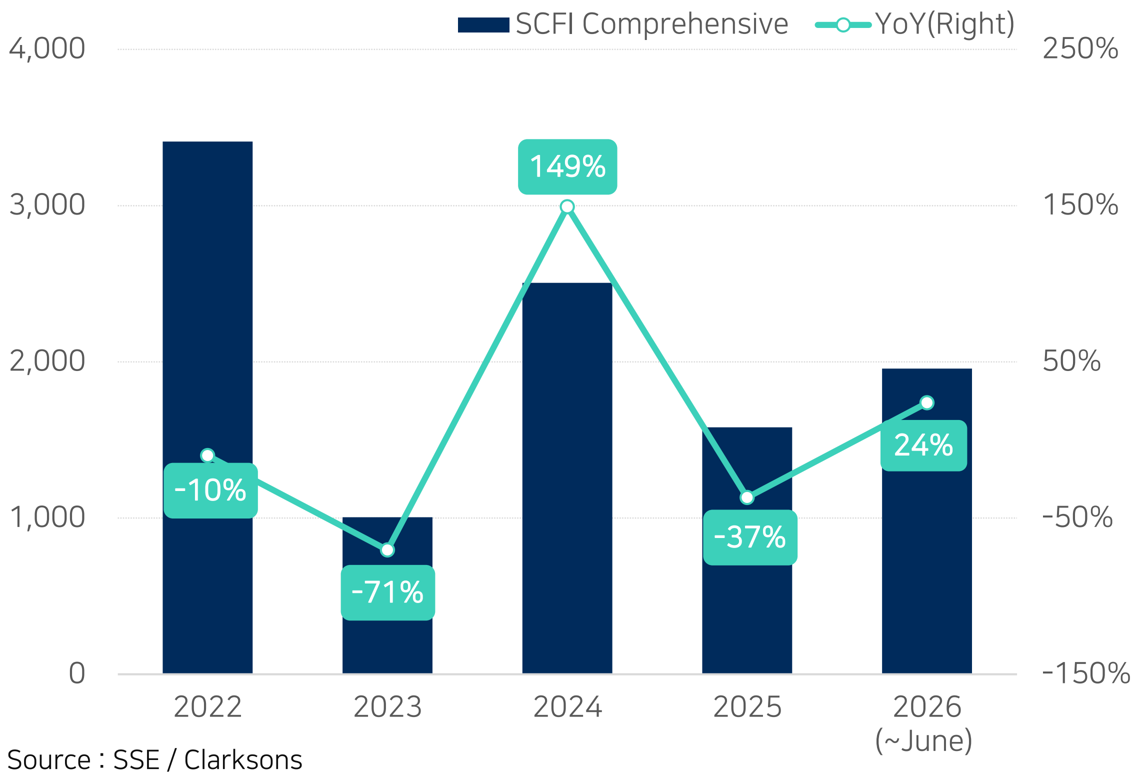
Ocean Market Trend

Freight rates strengthened in 1H on front-loading and Middle East supply disruptions

The U.S.-Iran conflict lifted rates across all trade lanes, with front-loading accelerating the early peak season

Strong 1H Rates on Middle East Risks & Front-Loading

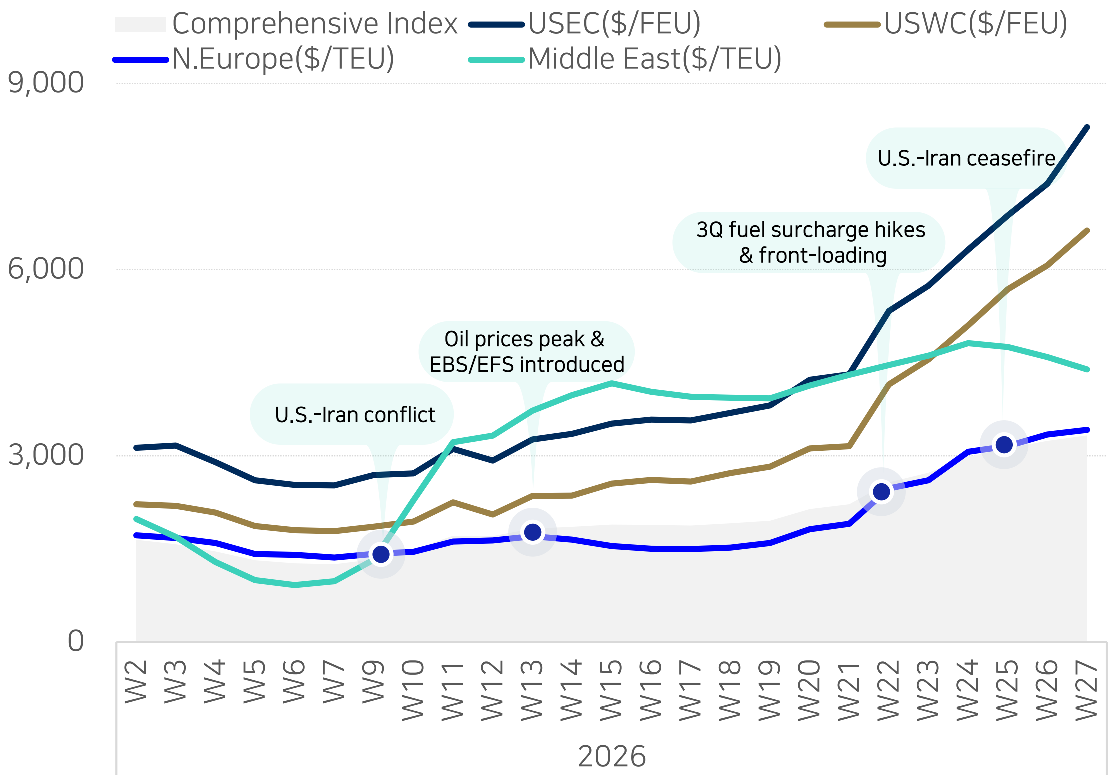
[SCFI Comprehensive Index Trend (Past Five Years)]



Source : SSE / Clarksons

Stronger Rates Across Trade Lanes

[SCFI Trends on Major Trade Routes (2026)]



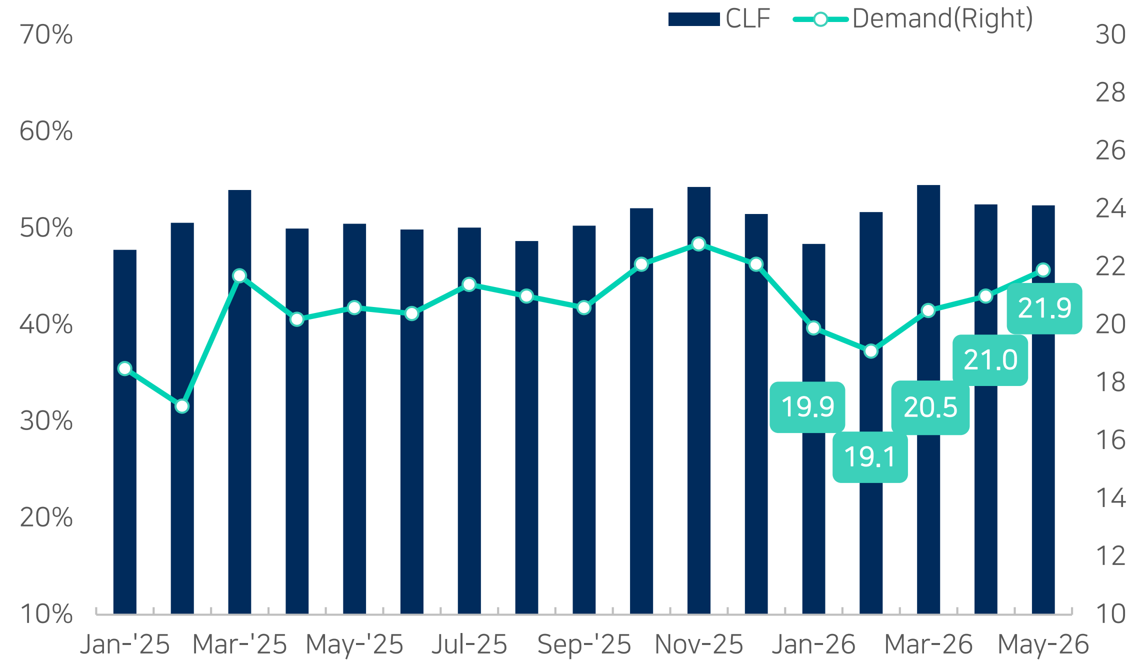
Air Demand Trends

1H demand rose 4.4% YoY; rapid recovery to pre-war levels, demand outpacing supply
*Jan~May * Monthly average 19.6B ('25)→20.5B ('26)

Asia grew 5.6% YoY as key growth driver, while ME fell 15.2% YoY amid war impact
* Asia-Europe volume growth accounted for over 75% of total Asia-route growth

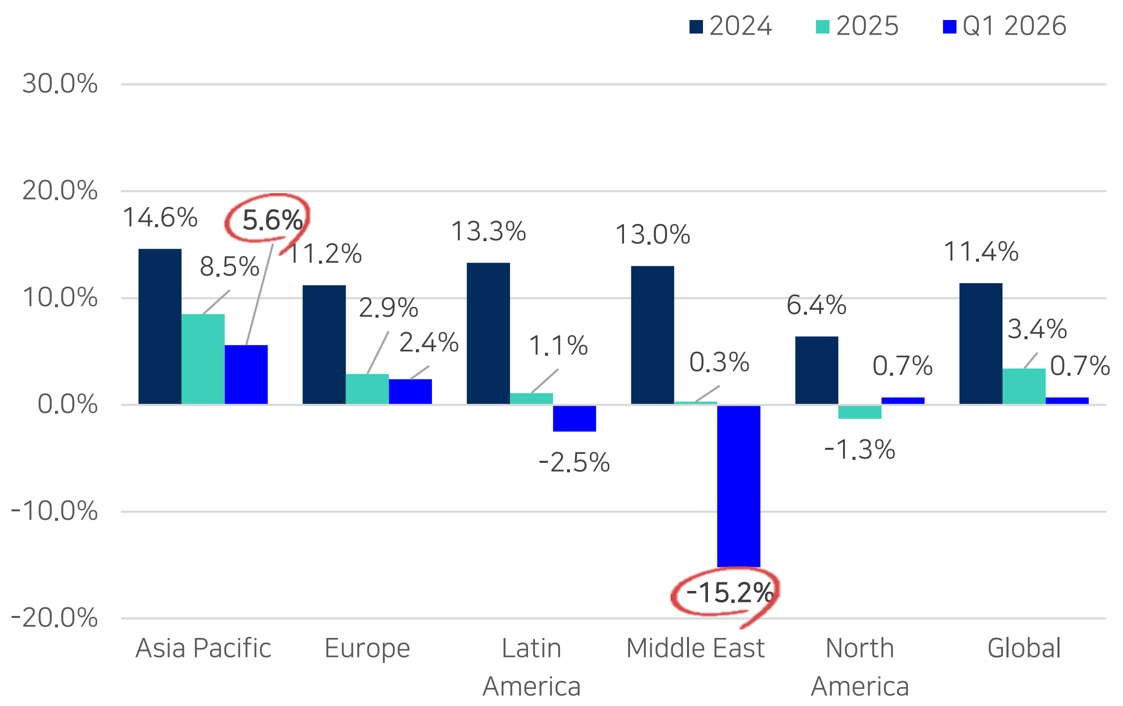
Back to Pre-War Levels, Growth Intact

['25-'26 Global Cargo Load Factor & Demand]



Air Cargo Demand: Widening Regional Gap

['24-'26 Regional Air Cargo CTK Growth Rate]



Source : IATA

Air Supply Trends

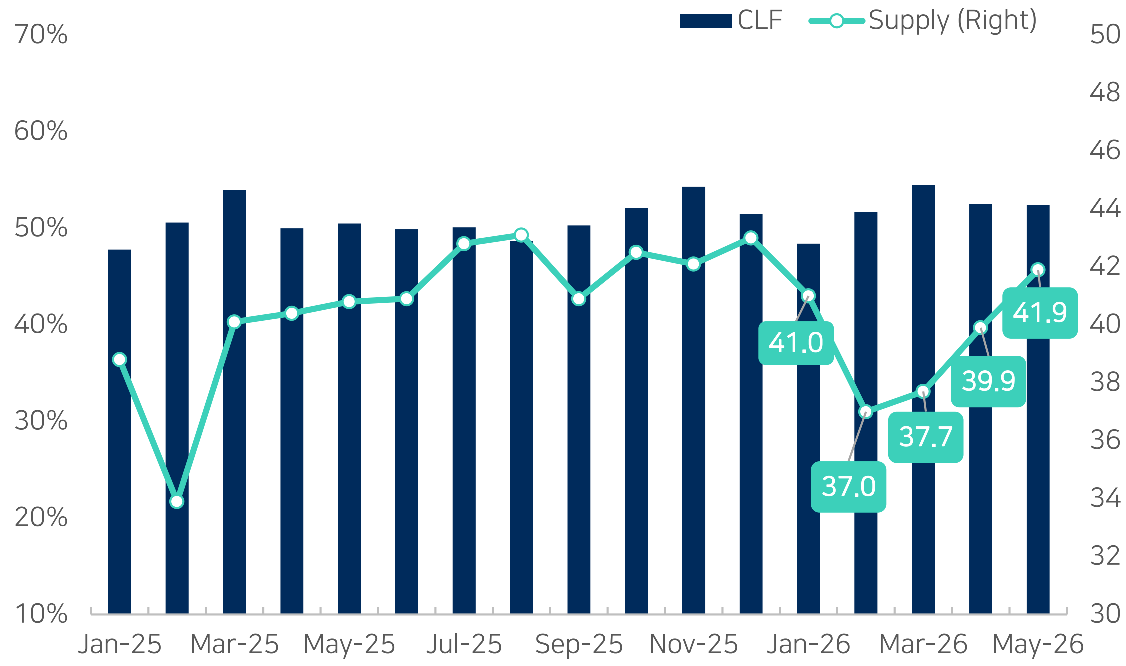
1H supply rose 1.9% YoY, gradual recovery after ME shock but slightly below demand growth

* JAN~MAY *38.8B ('25)→39.5B ('26)

Freighter supply growth accelerated YoY on high-value cargo demand; short-term recovery driven by belly capacity increase

1H Supply Gradual Recovery, Stronger Demand

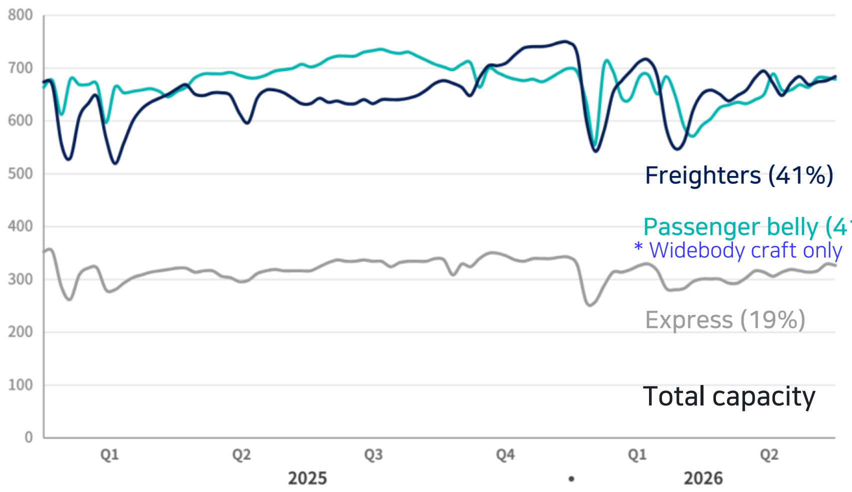
['25-'26 Global Cargo Load Factor & Supply] (B ton kilo)



Freighter Capacity ↑ , Led by NE Asia-N.America

['25-'26 Cargo Capacity by Aircraft Type]

(k tonnes/week)



*Seabury, May 27- June 21

	YOY	vs. latest 4W
Freighters (41%)	+6.3%	+1.1%
Passenger belly (41%) * Widebody craft only	-2.8%	+3.2%
Express (19%)	+2.9%	+2.5%
Total capacity	+1.8%	+2.2%

- Freighter capacity share up YoY, led by N.E. Asia-N.America supply growth
  - Pacific freighter capacity +16% YoY (China +38%, Taiwan +12%, Korea +11%) * YOY(May)

⇒Airlines reallocating cargo capacity toward high-yield Pacific routes

Source : IATA / Seabury

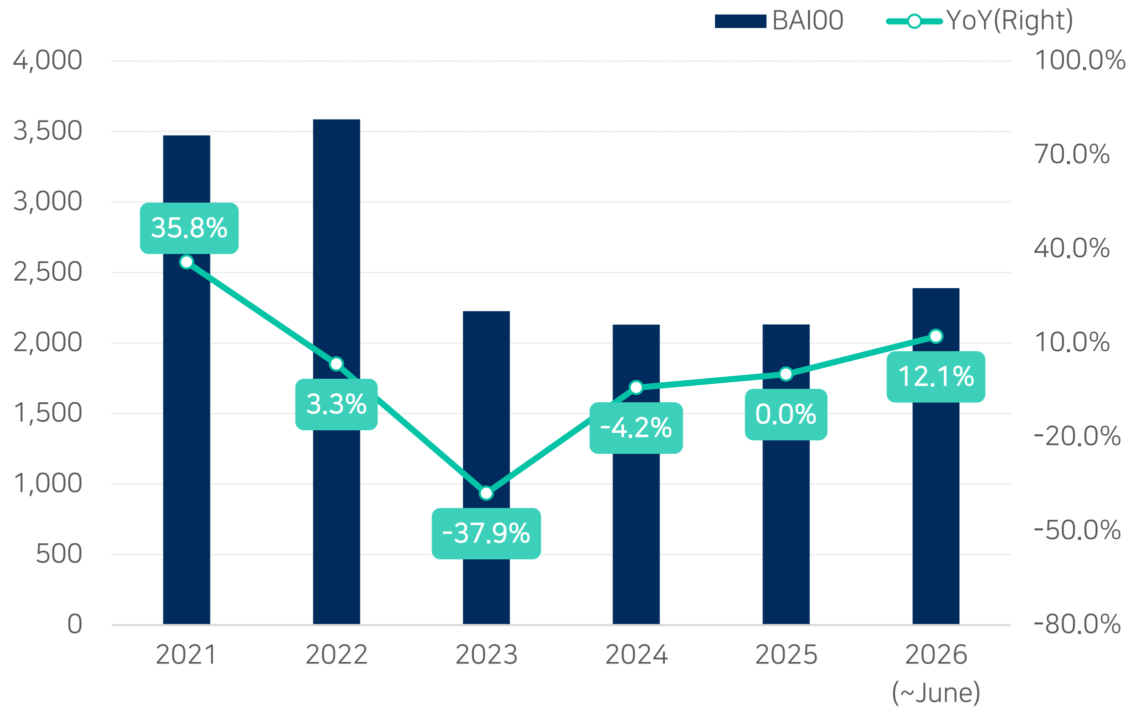
Air Market Trends

1H rates rose 12.1% vs. previous year's average; hit 3-year high amid ME supply shock and sustained at high levels

Rate gains widened on key lanes: Asia–NA with concentrated chip demand, and Asia–EU with high ME transit exposure

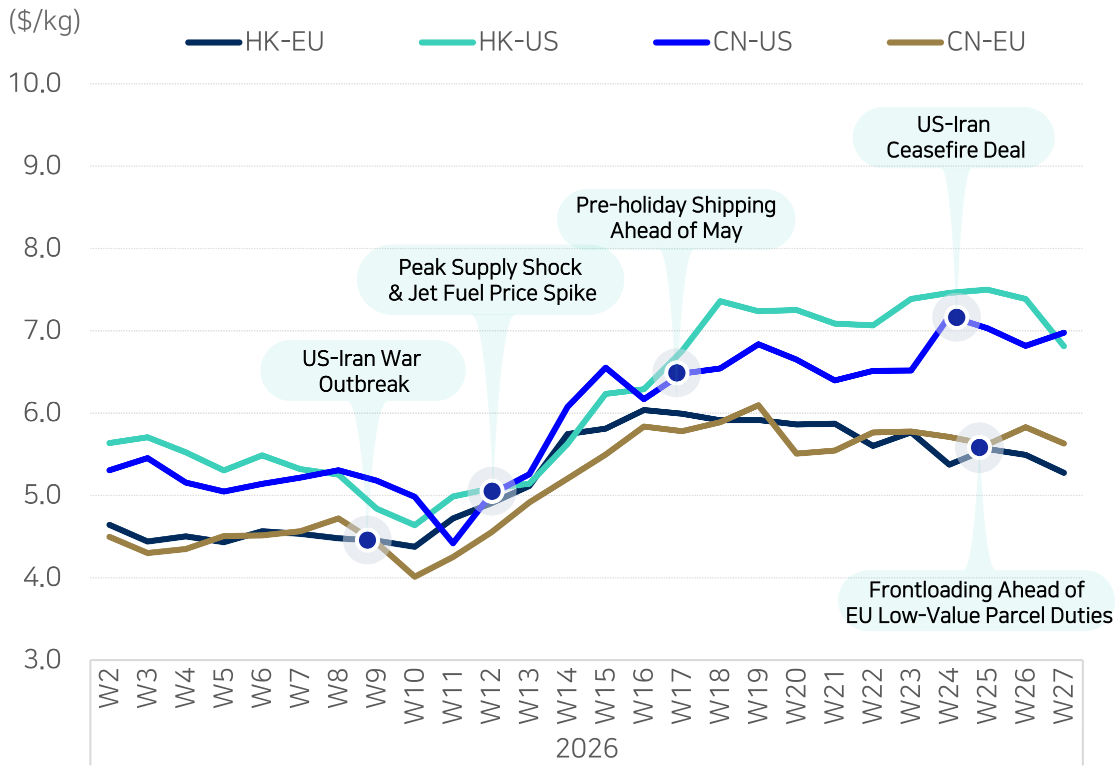
ME War Spike, Rates Staying High

[Latest 5-year BAI00 Trend]



Rate Hikes On Key Routes

['26 TAC Index Trend at Key Routes]



Source : TAC / IATA

Ⅲ. 2026 2H Market Outlook

Ocean Demand Outlook

Global container demand is expected to remain resilient this year, supported by solid non-Middle East demand

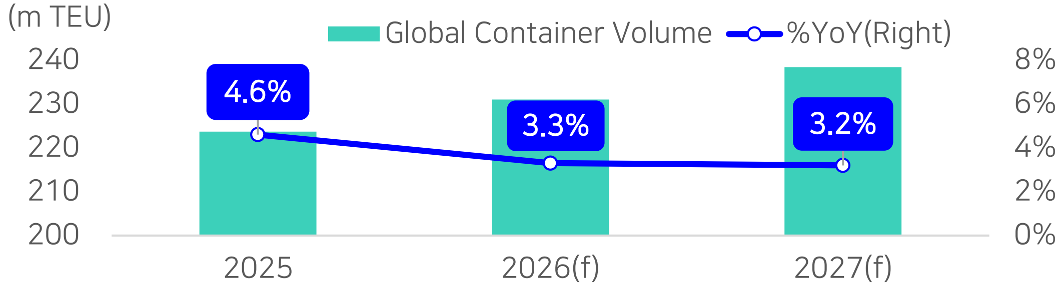
Demand is expected to slow in 2H as front-loading limits further growth after the early peak season

Resilient Global Container Demand in 2026

Global container volumes are expected to grow 3.3% YoY in 2026

- Solid non-Middle East demand supports global demand
  - Strong 1H non-Middle East demand offset weaker Middle East volumes
  - Europe front-loading and emerging exports boosted Asia-origin growth
    * Africa/ECSA exports
- Middle East trade recovery remains a potential upside
  - Service normalization could support direct Middle East trade
  - Gradual recovery is expected, limiting near-term volume gains

[Global Container Demand Outlook]



Source : Clarksons / CTS / NRF

2H Demand is Expected to Slow Markedly from 1H

Demand expected to soften after front-loading

- Inventory drawdown after 1H front-loading is expected in 2H
  - Early peak season shipments are expected to limit further demand growth
    * Black Friday (Nov.), Christmas (Dec.)
  - U.S. import volumes are expected to decline after the July peak
    * 2.47m TEU (Jul.) → 2.22m (Aug.) → 1.99m (Sep.) → 1.99m (Oct.) → 1.92m (Nov.)

High inflation and interest rates weigh on demand

- High interest rates are likely to persist amid inflation and energy uncertainty
  - June rate hikes in Europe and Japan signal hikes in Korea and the U.S.
    * 25 bp rate hike (Jun.)
- Prolonged high interest rates remain a downside risk to container demand
  - Consumer-driven cargo is more exposed to weaker spending
  - Cautious inventories and slower orders may further weaken 2H demand

Ocean Supply Outlook

Supply is expected to remain above demand in 2026, with 2H deliveries and capacity recovery adding pressure

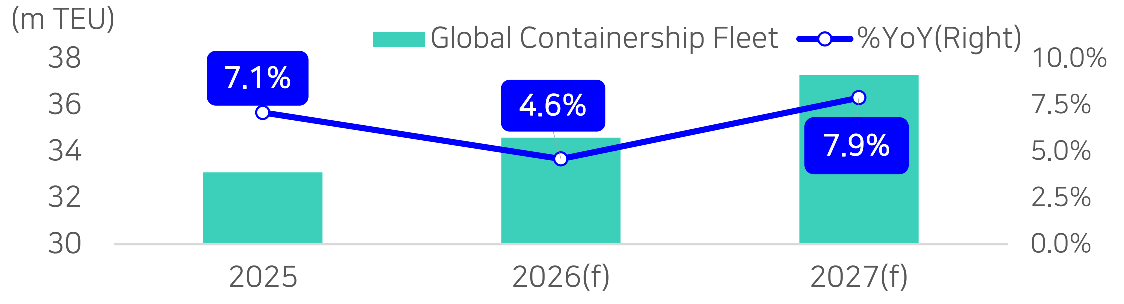
Large-scale deliveries from 2027 are expected to deepen oversupply and freight rate pressure

Supply to Remain Above Demand

Supply is expected to remain above demand in 2026

- Global supply growth is expected at 4.6%, remaining above demand
  - Supply growth is expected to exceed demand (3.3%) by over 1%p
  - Supply is expected to remain above demand despite slower growth
- Supply pressure is expected to increase in 2H
  - 45% of newbuilds were delivered in 1H, leaving more deliveries in 2H
  - Capacity recovery from easing Middle East risks may add supply pressure

[Global Containership Supply Outlook]



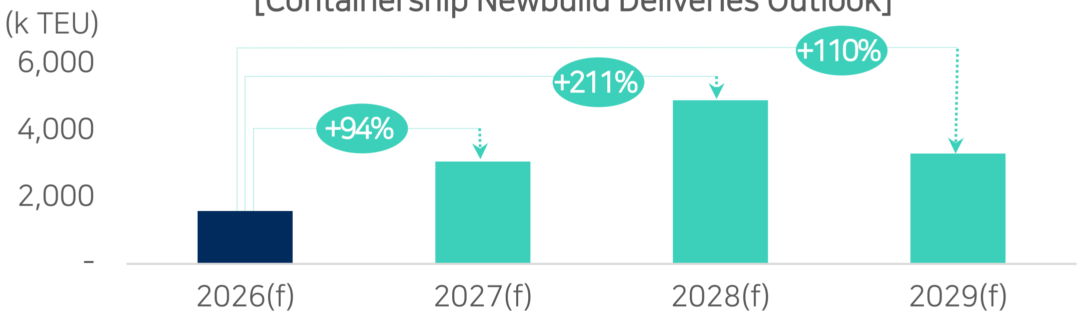
Source : Clarksons

Growing Oversupply Pressure Beyond 2027

Long-Term Supply Risks to Rise After 2027

- Containership orderbooks remain at record levels
  - Orderbooks reached 12.91m TEU in Jun. 2026, the highest since 2010
    * ~38% of the existing fleet
  - Newbuilding orders remain strong on fleet renewal and capacity expansion
- Supply pressure is expected to intensify beyond 2027
  - Newbuild deliveries: 1.57m ('26) → 3.06m ('27) → 4.89m TEU ('28)
  - Rising oversupply may prolong downward pressure on rates

[Containership Newbuild Deliveries Outlook]

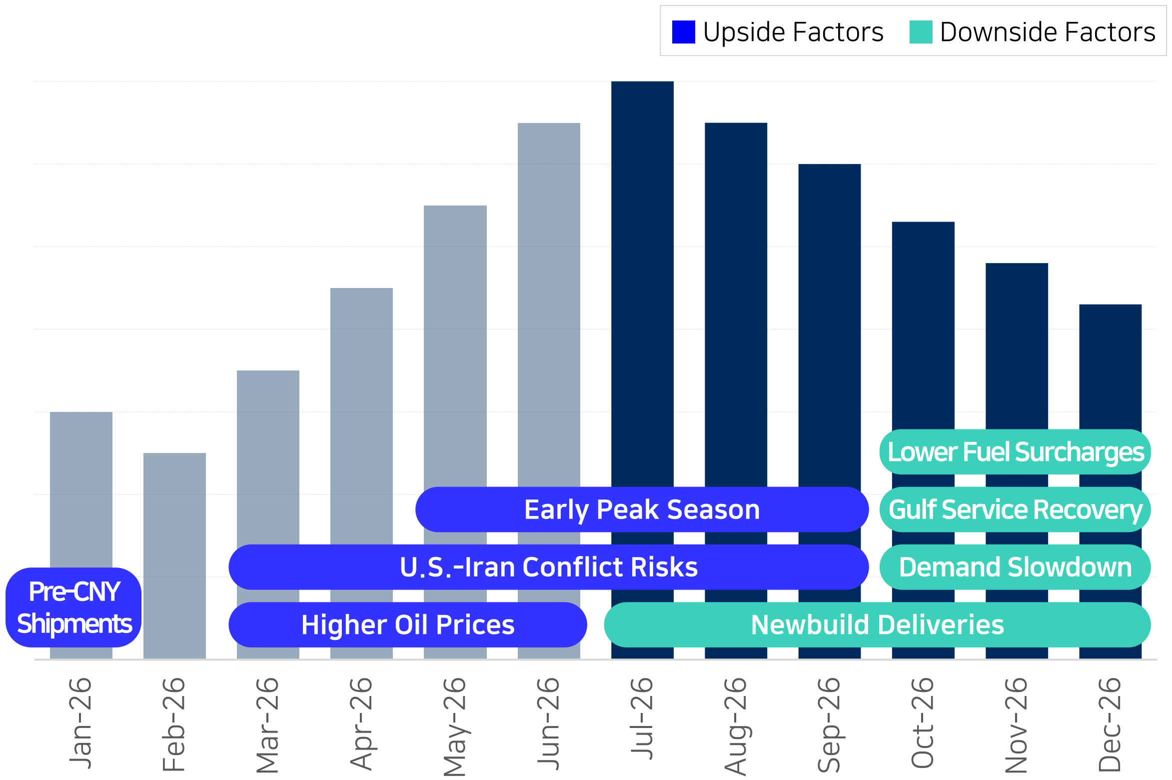


Ocean Market Outlook

Freight rates are expected to remain firm through early 3Q on fuel surcharges and front-loading

Rates are expected to weaken in 4Q as costs ease, supply recovers, and demand slows

Freight Rate Outlook



Key Drivers by Quarter

Key Drivers in 3Q

① Front-loading on fuel surcharges and tariff uncertainty

- Higher fuel surcharges and potential U.S. tariffs may support front-loading

* Potential U.S. tariffs after Jul. 24

② Short-Term Supply Constraints on Delayed Gulf Recovery

- Fleet redeployment and schedule delays may limit effective capacity in 3Q

* Xeneta

Key Drivers in 4Q

① Lower bunker prices and lower fuel surcharges

- Lower oil and bunker prices may reduce fuel surcharges in 4Q

② Capacity recovery after Hormuz reopening

- Gradual service and capacity recovery may weigh on rates from 4Q

③ Stronger demand slowdown after front-loading

- Demand may soften on inventory drawdown, inflation, and the off-season

Ocean Market Outlook | Key Driver ① - Stabilization of Global Oil Prices (1/2)

The U.S.-Iran conflict drove bunker prices sharply higher, lifting ocean freight rates through higher fuel costs

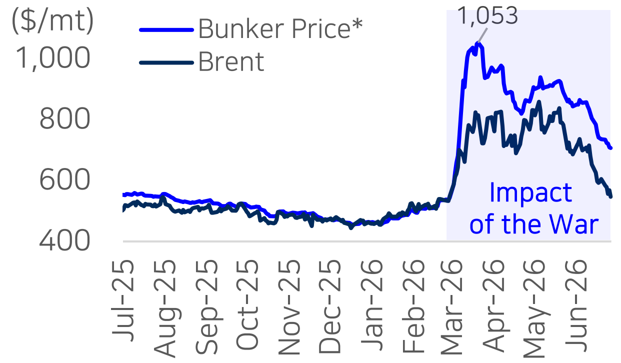
Higher 3Q fuel surcharges are expected to pass through fuel costs, supporting near-term freight rates

Surging Bunker Prices After the U.S.-Iran Conflict

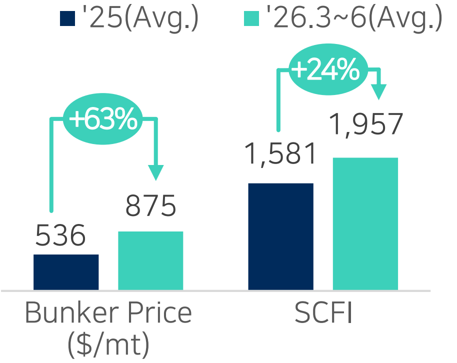
Surging bunker prices lifted freight rates

- Bunker prices at 20 major hubs surged after the Iran conflict
  - 536 $/mt ('25 avg.) → 875 $/mt ('26 Mar–Jun avg.), up 63%
- Higher bunker prices lifted SCFI across all trade lanes
  - 1,581 ('25 avg.) → 1,957 ('26 Mar–Jun avg.), up 24%

[Brent and VLSFO Price Trends (Past Year)]



[Pre-/Post-War Comparison]



* Global 20 Ports Average VLSFO

Source : EIA / Ship & Bunker / SSE / Maersk

Higher Fuel Cost Pass-Through

Carriers raise 3Q fuel surcharges

- Carriers imposed emergency fuel surcharges after the conflict
  - Fuel surcharges are typically adjusted on a quarterly basis
  - Carriers passed higher fuel costs through emergency surcharges in 2Q26
- Higher 3Q fuel surcharges may add upward pressure on freight rates
  - Maersk raised fuel surcharges by 36–47% on major Asia routes
  - Higher surcharges may accelerate front-loading

[Maersk's 2026 Fuel Surcharge Rates by Major Trade Route*] ($/FEU)

Period	① Far East-Europe				② Far East-USWC				③ Far East-USEC			
	Fuel Surcharge			%QoQ	Fuel Surcharge			%QoQ	Fuel Surcharge			%QoQ
	Total	FFF	EBS		Total	FFF	EBS		Total	FFF	EBS	
'26.1Q	353	353	-	-6%	359	359	-	-7%	657	657	-	-7%
'26.2Q	732	332	400	107%	737	337	400	105%	1,017	617	400	55%
'26.3Q	995	595	400	36%	1,002	602	400	36%	1,499	1,099	400	47%

* 유류할증료 기준 : FFF(Fossil Fuel Fee) + EBS(Emergency Bunker Surcharge)

Ocean Market Outlook | Key Driver ① - Stabilization of Global Oil Prices (2/2)

Bunker prices are expected to decline in 2H, with gradual normalization extending into 2027

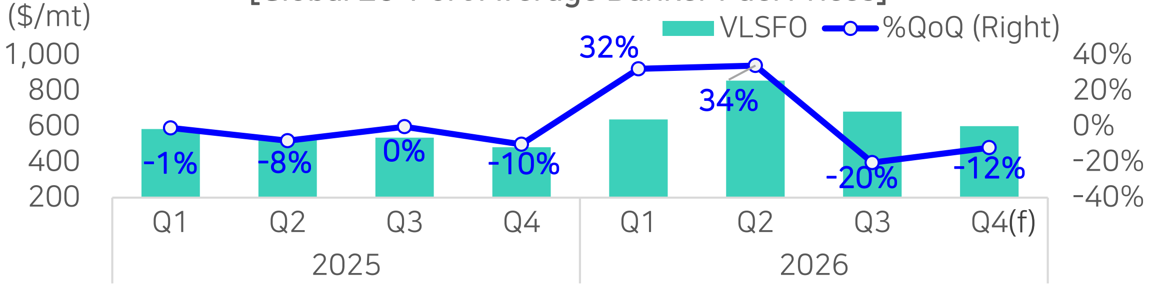
Higher fuel surcharges may support rates in 3Q, while lower surcharges may weigh on rates in 4Q

Bunker Prices Expected to Ease in 2H

Bunker prices are expected to ease after Hormuz reopens

- Bunker prices may ease after Hormuz reopens
  - Bunker prices are expected to fall about 12% in 4Q and into 2027
    * Ship & Bunker
- Normalization is expected to be gradual
  - Bunker prices may decline more slowly than crude oil
    * Bunker prices are more directly driven by refining, inventories, and port supply
  - Further declines are possible as oil supply normalizes

[Global 20-Port Average Bunker Fuel Prices]



※ 3Q bunker price: Jul. 1–7 average
※ 4Q bunker price: Based on Ship & Bunker's 3Q–4Q forecast change

Lower Fuel Surcharges May Weigh on 4Q Rates

Fuel surcharges to support 3Q, weigh on 4Q rates

- Higher fuel surcharges may limit downside in 3Q
  - Higher 3Q fuel surcharges are expected to keep rates elevated
- Lower fuel surcharges may weigh on 4Q rates
  - Lower bunker prices may reduce regular and emergency fuel surcharges
    * Recent oil declines and Hapag-Lloyd's emergency surcharge removal support 4Q surcharge cuts
  - 4Q fuel surcharges are expected to fall 41–52% from 3Q (Maersk case)
    * Assumes EBS removal and FFF reduction

[Fuel Surcharge Outlook by Major Trade Route (Maersk Case)]

($/mt, $/FEU)

Period	VLSFO Reference (Previous Quarter)		① Far East-Europe Fuel Surcharge			② Far East-USWC Fuel Surcharge			③ Far East-USEC Fuel Surcharge		
		%QoQ	Total	FFF	EBS	Total	FFF	EBS	Total	FFF	EBS
'26.3Q	857	34%	995	595	400	1,002	602	400	1,499	1,099	400
'26.4Q(f)	683 (▼174)	-20%	476 (▼519)	476 (▼119)	- (▼400)	482 (▼520)	482 (▼120)	- (▼400)	879 (▼620)	879 (▼220)	- (▼400)
'27.1Q(f)	602 (▼81)	-12%	419 (▼57)	419 (▼57)	- (-)	424 (▼58)	424 (▼58)	- (-)	774 (▼106)	774 (▼106)	- (-)

※ 4Q bunker price based on the Jul. average, reflecting recent oil price declines

Source : EIA / Ship & Bunker / Maersk

Ocean Market Outlook | Key Driver ② - Normalization of the Strait of Hormuz

Middle East disruptions tightened effective capacity in 1H, while gradual recovery is expected to weigh on rates in 2H

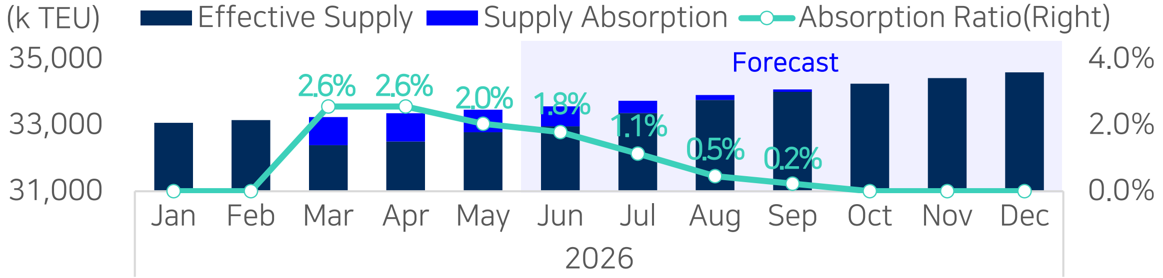
Gulf transits and congestion have started to recover, with operations weighing on 4Q freight rates

Supply Recovery to Weigh on 2H Freight Rates

Gradual capacity recovery expected in 2H

- Middle East disruptions absorbed effective capacity in 1H
  - Vessel delays and slower sailing absorbed up to 860k TEU in April
    * ~2.6% of the global fleet
  - Actual capacity absorption may exceed estimates in actual operations
- Gradual recovery may increase supply pressure in 2H
  - Capacity absorption is expected to ease as vessel operations recover
  - Supply pressure may increase from 4Q after limited recovery in 3Q

[Estimated Capacity Reduction from the Middle East Conflict]



※ Scenario: Direct Gulf services resume after Aug.; vessel speeds recover to Feb. levels from 4Q

Source : Linerlytica / Global Ship Lease / MSI / Clarksons / Xeneta

Operational Recovery to Weigh on 4Q Rates

Operational recovery to ease supply constraints

- Gulf transits and congestion have started to recover
  - Hormuz transits remain well below pre-war levels but continue to recover
    * 3,131k TEU (Feb.) → 32k (May) → 265k (Jun.)
  - Congestion at major T/S hubs eased, gradually relieving bottlenecks
    * Singapore, Colombo, and Mundra congestion eased 6%, 28%, and 10% (May–Jun)
- Operational recovery to support supply normalization in 4Q
  - 3Q recovery is expected to remain gradual
  - Improving transits and congestion may weigh on 4Q freight rates

[Key Container Vessel Operational Metrics: Pre- vs. Post-Conflict]

Operational Metric		2026					vs. Pre-Conflict (Feb↔Jun)	MoM (May↔Jun)
		Feb	Mar	Apr	May	Jun		
Strait of Hormuz Transits(k TEU)		3,131	121	173	32	265	▼92%	▲728%
Port Congestion* (k TEU)	Singapore (Singapore)	349	373	384	417	390	▲12%	▼6%
	Colombo (Sri Lanka)	98	144	170	155	112	▲14%	▼28%
	Mundra (India)	68	97	143	150	135	▲98%	▼10%

* Port Congestion Index : AIS-based nominal containership capacity at port

Air Demand Outlook

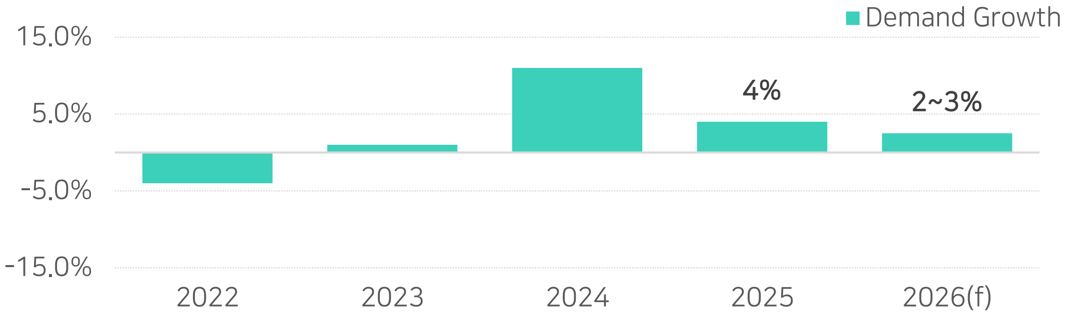
2H demand growth is expected to slow to 2–3%, with air cargo entering a moderate low-growth phase
High-value AI/chip demand to support Asia outbound routes in '26 despite e-commerce slowdown

Demand Increases, Entering A Low-Growth Phase

Demand to grow moderately in line with supply

- Xeneta, '26 demand freight growth rate projected at 2~3%
  - Demand is normalizing after the '24 e-commerce surge
    '25: 4%, '26: 2-3%, slowing by 1-2%p YoY into low growth
  - Despite slower e-commerce growth, high-value cargo such as AI infrastructure and chips will support demand
  - Key '26 air market variables: oil price risk and AI investment outlook

(Chargeable Weight) [5-Year Trend in Demand Volume Growth]



Source : Xeneta

AI·Chip Core Lanes Drive Overall Demand

'26 demand: growth engine shifts from e-commerce to AI·chips

- Demand drivers in '26 are shifting from e-commerce to AI/chips
  - China-origin e-commerce sales -11% YoY (US -33%, EU -6%) * Apr. YoY
  - The traditional e-commerce peak in Q3-Q4 is expected to weaken
  - Global chip sales +106% YoY, Asia-NA chip shipments up 22% * Apr.
  - Asia-NA AI·high-tech cargo volume increases by 86% YoY, leading growth * Jan.-Apr.

Core lanes, not global growth, drive demand

- Demand growth concentrated on select high-demand lanes
  - Route disparities widening, Asia-NA·EU lane demand to stay firm
  - Asia→NA·EU dynamic load factors at 87–90%; supply-demand to remain tight
    * Dynamic Load Factor: Cargo weight carried as a share of actual available capacity
  - Volume growth from electronics·chip hubs (TW,CN,MY, etc.) to widen transpacific growth, led by NE Asia–NA lanes

Air Supply Outlook

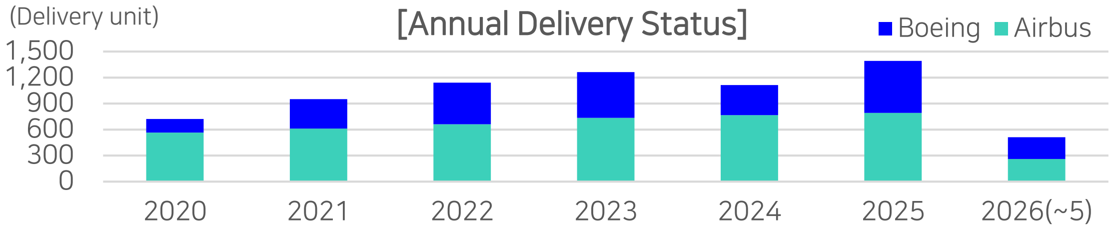
Cumulative deliveries remain low vs. new orders; despite improved delivery speed, the gap continues to widen

Undelivered orders at an all-time high; delivery bottleneck to constrain air cargo supply over the medium to long term

Widening Order–Delivery Gap

New Order and Delivery Status

- Jan-May '26 new orders total 1,139 (Airbus 815, Boeing 324)
  - Airbus: Chinese airlines contracts account for 17% of the total order
    * China Southern Airline, Xiamen Airlines
  - Boeing: Potential strike risk before technical union contract expiration
    * Oct. '26
- Jan-May '26 new deliveries total 512, with delivery speed up by 11%
  - Despite the faster pace vs. '25, deliveries may fall slightly short of annual targets
    * Boeing 684 units (FI estimate), Airbus 870 units
  - Widening order–delivery gap; ~12 years to clear the backlog

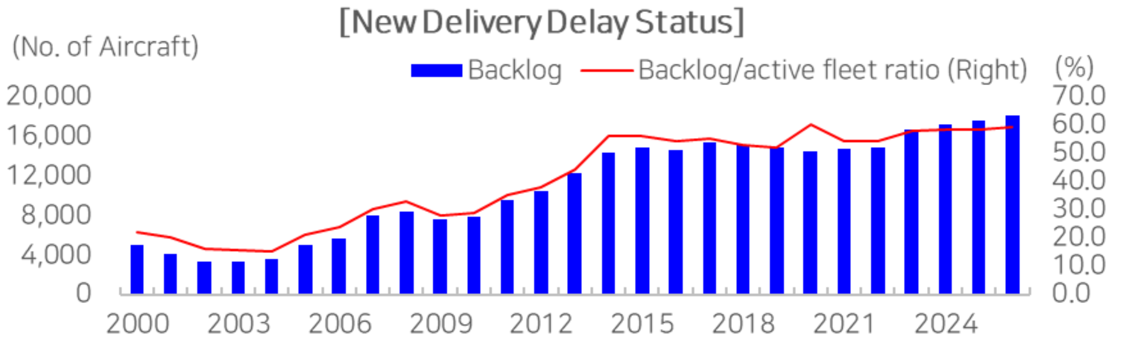


Manufacturer	2020	2021	2022	2023	2024	2025	2026(~May)	Total
Airbus	566	611	661	735	766	793	262	4,394
Boeing	157	340	480	528	348	600	250	2,703
Total	723	951	1,141	1,263	1,114	1,393	512	7,097

Structural Supply Constraints Persist

Delivery bottleneck, a mid-to-long-term supply constraint

- New aircraft backlog hits record high, growing dependence on aging fleet
  - As of May '26, backlog has surpassed 18,100 units, about 60% of total fleet
  - Parts·engine delays and labor shortages slow output, backlog builds
- Risk of freighter supply gap with aging and discontinuation of older models
  - Retirement of aging aircraft is delayed, record high avg. age of 15.2 years
  - Older freighter production ends + new delivery delays to add supply pressure
    * 767F/777F production to end in '28 * 777-8F deliveries delayed to '28, A350F to '27

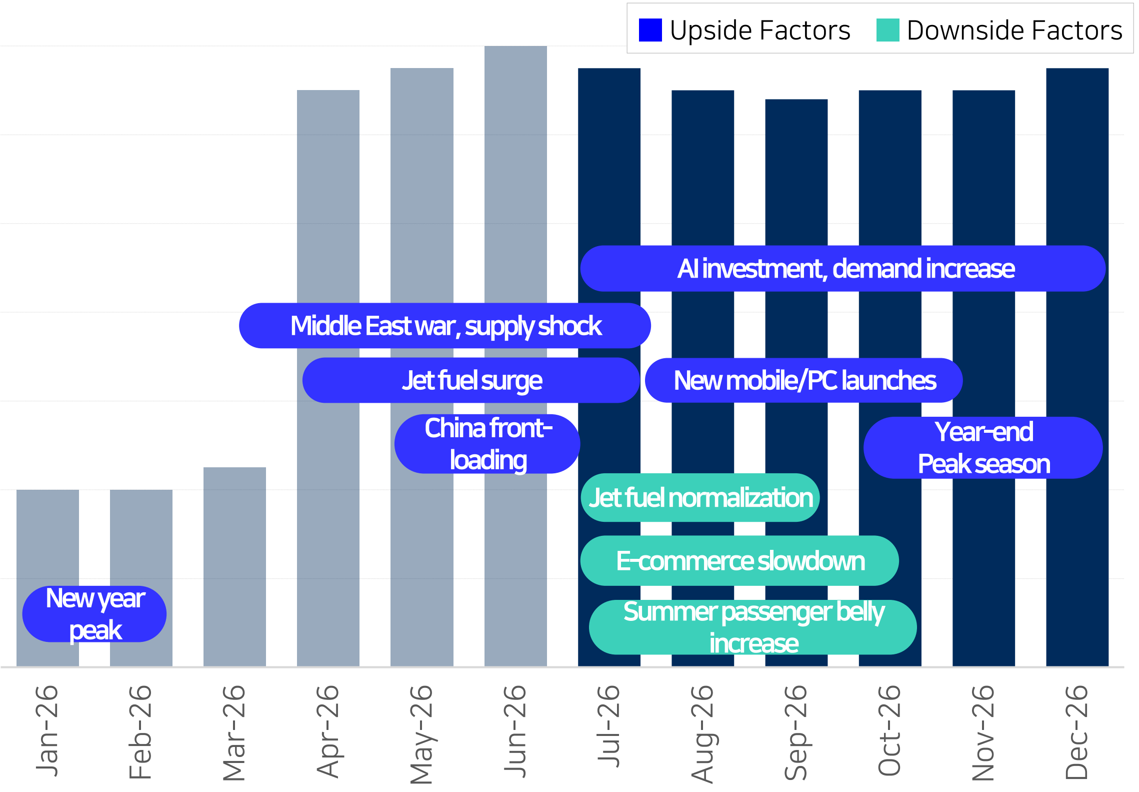


Source : Airbus / Boeing / IATA

Air Market Outlook

Demand weak in Q1 on slowdown; Q2 ME war supply/oil shocks sent rates surging on all routes, trend persisting
Q3 rates to fall on oil normalization·e-commerce slowdown·belly capacity; Q4 to rise on AI demand and year-end peak

Freight Rate Outlook



Key Drivers by Quarter

Key Drivers in 3Q

① Oil·jet fuel surge normalizes: easing costs and airlines' operating burden

- Demand-focused long-distance routes, summer passenger recovery

② Pre-launch shipments ahead of new mobile/PC releases

* 2026 mobile/PC shipments to slow YoY, limiting cargo upside

- Aug-Oct initial·inventory shipments; seasonal demand from SE Asia·India

③ Slowing growth of e-commerce and low-value parcel duties in EU

* Effective Jul. 1

- After June's China front-loading, e-commerce volume slightly weaker YoY

Key Drivers in 4Q

① AI investment keeps lifting data center·infrastructure demand

- HBM·AI servers·data center equipment to drive air cargo demand

* AI server shipment up by 28% YoY

② Year-end peak season concentrates seasonal demand short term

- Retail peak and year-end restocking may absorb capacity; space competition on Asia-origin long-haul may lift rates short term

Air Market Outlook | Key Driver ① - Jet Fuel Supply-Demand Stabilization (1/2)

US–Iran war disrupted ME crude·jet fuel supply chains; supply strain drove jet fuel up more sharply than crude

The surge fed directly into fuel costs, tripling oil's weight in air freight rates vs. pre-war levels

US-Iran War Impact on Jet Fuel Supply Chain

Oil·jet fuel supply disruptions drive jet fuel price surge

- Hormuz closure limits crude·refined shipments, bottlenecking jet fuel output
  - Jet fuel supply centers on KR·CN·ME; ME is the market's largest supplier
    * 20% of total jet fuel supply in '25
  - ME: ~70% of Korea's crude imports, 75% of EU net jet fuel imports
    * As of '25, 69.9%, 1.95mb/d
- Import disruption spreads Q2 inventory·supply strain; jet fuel outpaces crude
  - ME jet fuel exports plunge 400 → 70 kb/d, opening a supply gap
  - Jet fuel +101.4% (Feb→Apr '26), over 2x the crude increase
    * Brent 46.5% increase

[Change in Major Jet Fuel Supply Chain Export Volume]

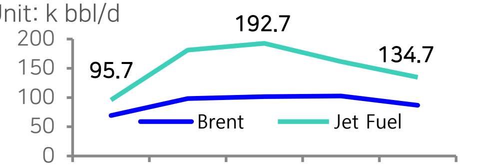
Basis: Daily production amount, Unit: k bbl/d

* IEA, Jet Fuel Markets Pivot to Atlantic Basin Supplies

Major Supply	'26. Feb	'26. Apr	% Change
ME export	400 kb/d	70 kb/d	-83%
ME-EU	330 kb/d	60 kb/d	-82%
EU Inventory (ARA)	846 kt	597 kt	-29%

* EU inventory as of end of Apr. is the lowest since COVID era

[Global Oil Price Trend in 1H '26]



Price	Feb	Mar	Apr	May	Jun
Brent	69.2	98.2	101.4	102.8	86.9
Jet Fuel	95.7	181.2	192.7	161.6	134.7

+101.4%

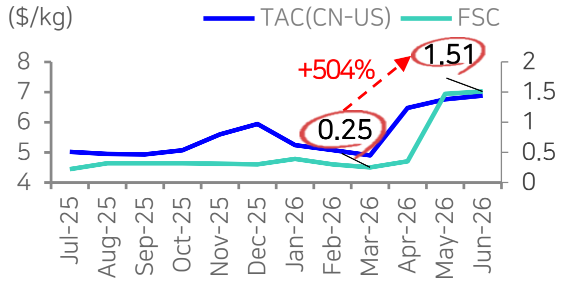
Jet Fuel Prices Soar, Rate Impact Expands

Rising jet fuel prices are the main driver behind rate increases

- Q2 rates climb further on the post-war jet fuel spike
  - TAC CN–US rates up 48% in 3 months, $4.53 → $6.71
    *2/16~3/15 *5/16~6/15
  - FSC surged 504% ($0.25 → $1.51), a multi-year high
    * Based on Korean Air long-haul FSC
- Fuel-cost pass-through in rates rises to about 3x pre-war levels
  - FSC share of TAC rates averaged 6.6% (5–8% range) over the past 2 yrs
    * CN-US rates vs. KE FSC basis

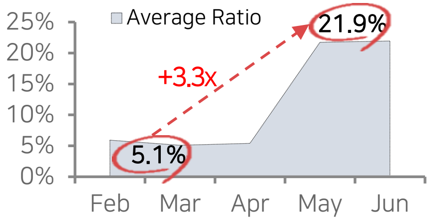
    Share expanded 5.1% (2/16–3/15)→21.9% (5/16–6/15), a 3.3x jump

[TAC-KE FSC Trend of past 1 year]



* Long-haul route : NA/EU/Africa/ME/India/Pacific

[Change in FSC ratio]



* Rate : TAC CN-US, FSC : Korean Air long-haul
Period : 16th of previous month-15th of current month

Source : IATA / IEA / KE

Air Market Outlook | Key Driver ① - Jet Fuel Supply-Demand Stabilization (2/2)

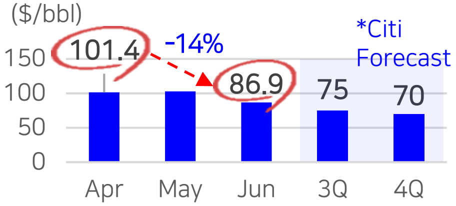
The ceasefire MOU and easing supply strain stabilize oil prices, with the jet fuel surge normalizing early
Fuel-driven upward rate pressure gradually easing, with FSC expected to fall to pre-war levels within 2H

Jet Fuel on Downtrend as Oil Price Risk Eases

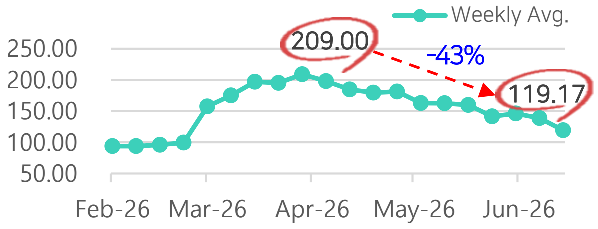
Oil falls, supply recovers; early normalization expected

- Jet fuel strain eased by alternative US supply·export expansion
  - US 4-wk avg daily output: 1.7 mb (late Feb) → 2.0 mb (early May), up 18%
    *mbbl/d
  - US–EU exports up 120 kb/d MoM, absorbing the ME supply gap
- Oil prices fall early on the ceasefire; normalization expected within Q3
  - Brent $101.4 (Apr) → $86.9 (Jun); Citi forecasts $75 (Q3) → $70 (Q4)
    *$/bbl
  - Jet fuel down 43%: $209.0 (Apr W1) → $119.2 (Jun W3)
  - Jet fuel normalizing early, falling faster than Brent on stable supply

[Brent Trends and Outlook]



[IATA Jet fuel Weekly Trends]



FSC to Decline in 2H, Easing Rate Pressure

Jet Fuel Shock-Driven Rate Pressure Easing

- Jet fuel to decline on oil normalization and easing supply strain
  - Brent: down 23% to $75 (Q3), down 7% to $70 (Q4)
  - Jet fuel: down 33% to $110 (Q3), down 11% to $98 (Q4)
    * Assumes same pace as Brent normalization, Citi decline rates applied
- FSC to normalize in stages to pre-war levels within 2H
  - FSC adjusts in stages every 2–4 weeks per the jet fuel outlook
  - Q3: stage 13, down 50% to $0.55 → Q4: stage 10, down 24% to $0.42
    * Based on KE long-haul; stage 23 (Jul.) → stage 16 (Aug.)

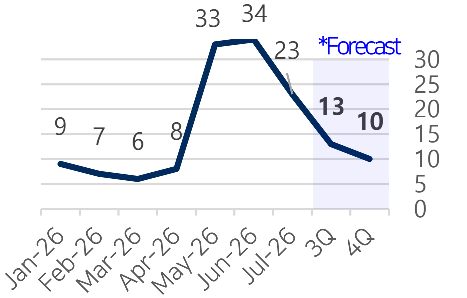
[Brent-Jet Fuel Change Outlook]

($/bbl) * Brent Outlook : Citi, Jet Fuel : IATA

Basis	'26.2	2Q	3Q(f)	3Q QoQ	4Q(f)	4Q QoQ
Brent	$69	$97	$75	-23%	$70	-7%
Jet Fuel	$96	$163	$110	-33%	$98	-11%

* Brent decline rate: Q3·Q4 declines as a share of the Q2 rise vs. Feb '26
* Jet fuel outlook: Brent's quarterly decline rates applied to the post-war rise, assuming the same normalization pace

[2H FSC Stage Estimates (KE)]



Source : IATA / EIA / IEA / KE / Fitch

Air Market Outlook | Key Driver ② - AI Boom Restructures Air Market

Structural AI demand growth expands its market share and influence, lifting Asia–NA volume and rates

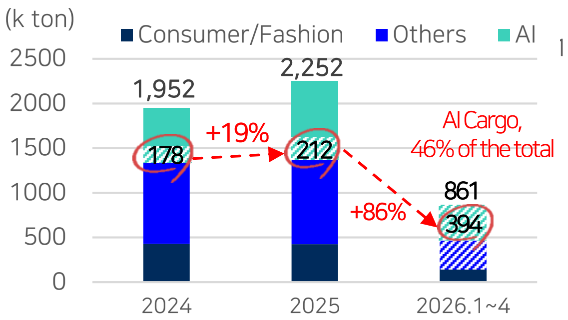
In peak season and supply crunches, AI cargo's higher rate tolerance secures space priority, limiting rate declines

AI Demand Expands Market Share and Impact

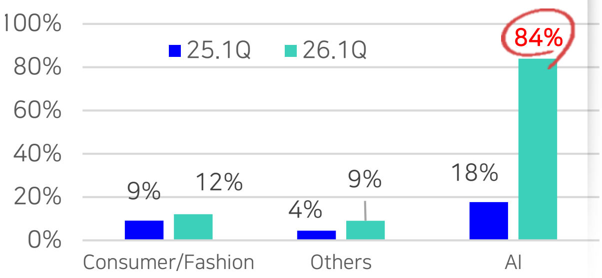
'26 AI volume surge lifts cargo value and demand share

- Surging AI demand is boosting transport volume and market value
  - In '25, Asia-origin trade value was $2.6T, AI cargo value at $1.7T
    *$1.39T in '24, 24.5% increase YoY
- AI cargo volume soars, expanding share and influence in air demand
  - AI cargo growth 19% ('25) → 86% ('26), 46% of total volume
    *From Jan.–Apr., YoY
  - Q1 '26, grew 84% YoY, 7 times higher than other product categories

[Asia-U.S. cargo volume in '24-'26]



[Volume Growth Trend by Item]



※ AI·High Tech: Telecom/Semiconductors/Computers/Scientific machinery·parts

Main Route Volume and Rate Upside

AI cargo, transpacific route volume and rate increases

- AI·High-tech exports, driving demand on major Asia-US routes
  - Asia-US AI cargo volume is 394K tons, an 86.1% increase YoY
    *From Jan.-Apr. '26
  - Growth led by Taiwan +259%, Thailand +198%, Vietnam +107%, Korea +69%
  - China fell 37% on new U.S. tariffs and production relocation
    *Post US-China trade conflict, server assembly/post-process volumes shifted CN→VN·TH·TW·MX

Wider gains on major routes limit overall rate downside

- Transpacific rates showing differentiated gains on rising AI demand
  - Asia-NA rates up 36.1% YoY, +7.8%p above air freight index
    * Q2 avg., $5.02/kg→$6.84/kg *BAI00, +28.3%
- AI cargo demand growth to continue through '27, limiting rate declines
  - '27 chip manufacturing equipment sales to increase 7.6% YoY to $156B
    * SEMI, $133B in '25→$145B in '26 ->$156B in '27
  - AI cargo's higher value and delivery sensitivity per kg may secure space priority, supporting rates in peak season
    * AI cargo value per kg estimated at ~15x general cargo

Source : IATA / Seabury

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